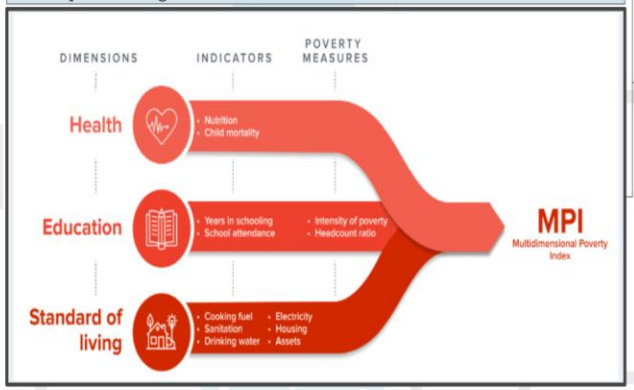
Poverty and Types of Poverty

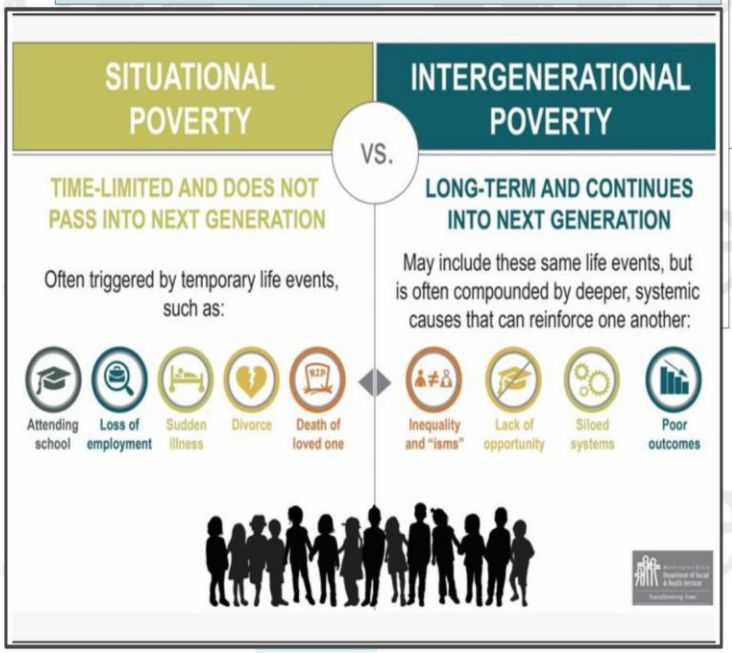
Multidimensional Poverty

The **main causes** of this poverty are poor health, lack of education, inadequate living standard, lack of income, threats from violence



Situational Poverty

The **main cause**s of this poverty are- adversities like earthquakes, floods, serious illness

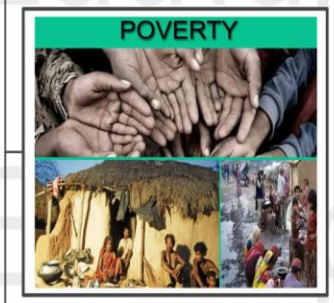


Generational Poverty

The main causes of this poverty are generations, poverty is handed over to families or individuals **from generation**s before hem

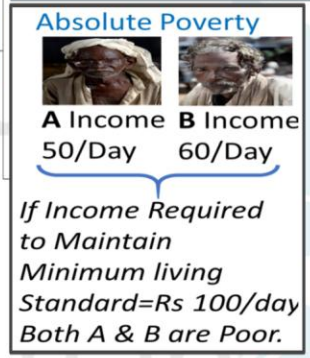
Absolute Poverty

Poverty - State or **condition** in which a person **lacks financial resources** and essentials to enjoy minimum standard of life that is acceptable in society



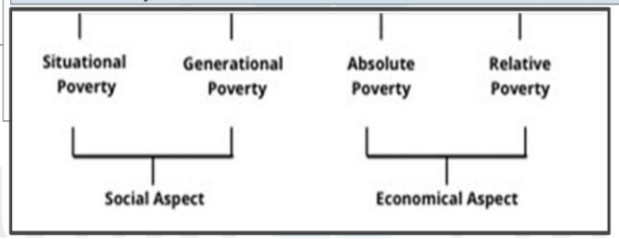
Condition in which income of people is not enough to afford **minimum** standard of **living**

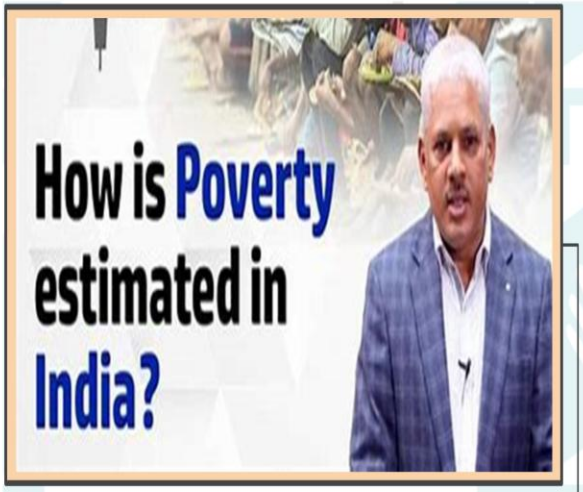
It is relevant for **less developed countries**



Relative Poverty

Under this poverty is defined in **comparison** to other people's standing in the economy.





- 1962 • Working Group
- 1972 • Study by VM Dandekar and N Rath
- 1979 • Task Force on "Projections of Minimum Needs and Effective Consumption Demand" headed by Dr. Y. K. Alagh
- 1993 • Lakdawala Expert Group
- 2009 • Tendulkar Expert Group
- 2014 • Rangrajan Committee

Committees for Poverty Estimation in India

Pre-Independence Committtees

- **Poverty and Unbritish Rule in India (1901)**
  - Estimated poverty line at **1867-68 prices**
    - Based on cost of subsistence diet
- **National Planning Committee(1938)**
  - Set up **by Subhash Chandra Bose**
  - **Chairman-** Jawaharlal Nehru
    - Based on minimum standard of living
- **Bombay Plan(1944)**
  - Suggested poverty line of Rs. 75 per capita per year

Post-Independence Committees

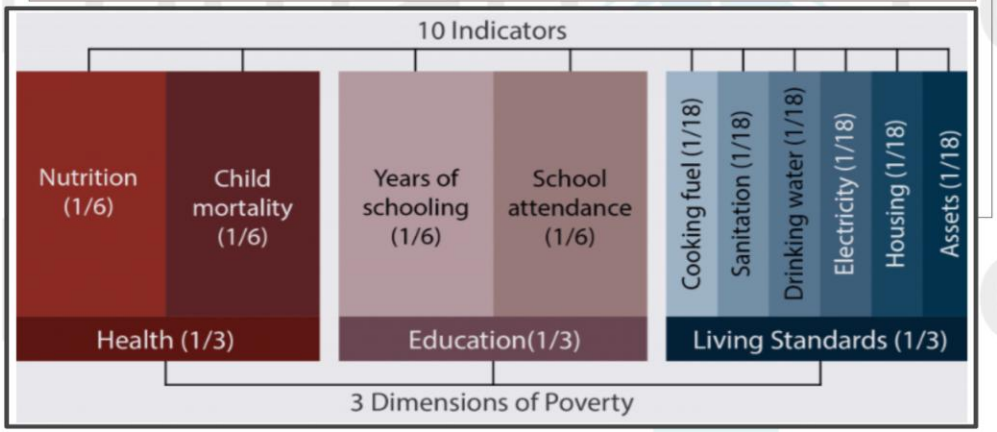
- **First Planning Commission working group(1962)**
  - Estimated poverty line at **1960-61 prices**
    - Based on minimum requirements of individuals for healthy living
- **VM Dandekar and N Rath (1972)**
  - First established the **consumption levels** required to meet a minimum calorie
    - Average calorie norm of 2,250 calories per capita per day
- **Alagh Committee(1979)**
  - Average per capita daily requirement- **2400** calories per capita per day in rural areas and **2100** in urban areas
- **Lakdawala Committee (1993)**
  - Did not redefine the poverty line and retained the separate rural and urban poverty lines recommended by the **Alagh Committee**
- **Tendulkar Expert Group (2009)**
  - Recommended using **Mixed Reference Period (MRP)** based estimates
  - Consumer expenditure-Rs 32 and Rs 26 a day for urban and rural areas.
- **Rangarajan Committee(2014)**
  - Raised the daily per capita expenditure to Rs 47 for urban and Rs 32 for rural at **2011-12 prices**

Multi-Dimensional Poverty Index (MPI)

Indices to measure poverty

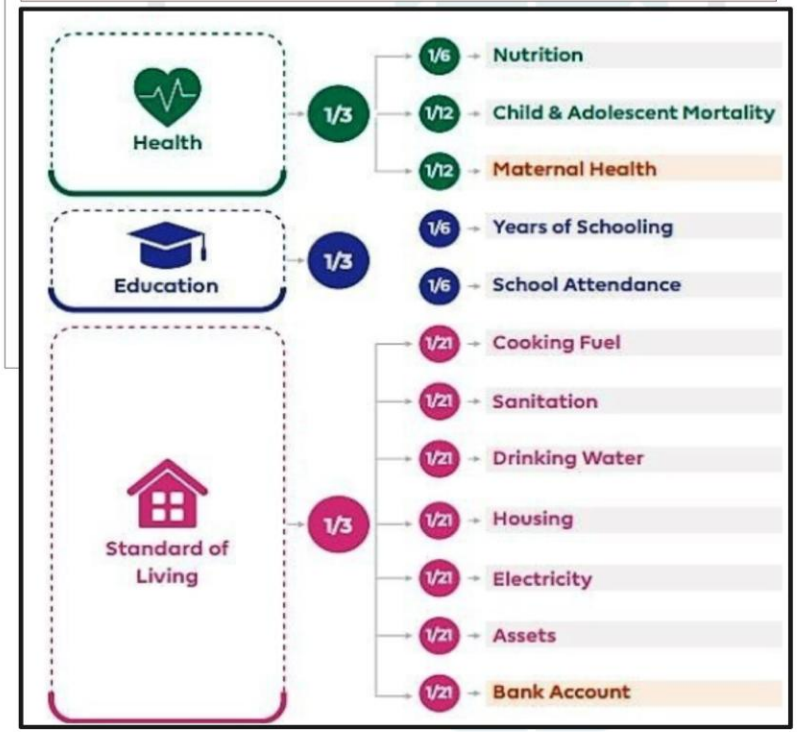
Global MPI

Global MPI is an international measure of multidimensional poverty covering **107 developing countries and was first developed in 2010** by (OPHI) and United Nations Development Programme (UNDP) for UNDP's Human Development Reports



National (MPI)

NITI Aayog in collaboration with **United Nations Development Programme** (UNDP), and **Oxford Poverty and Human Development Initiative** (OPHI) developed the National MPI



Unemployment and its types

"a situation in which the person is capable of working both physically and mentally at the existing wage rate, but does not get a job to work"

Open Unemployment

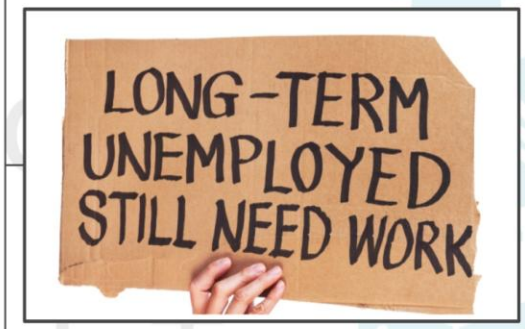
- Also Known as **Naked Unemployment**
- **For example**, a person unable to find a work on account of migration from rural to urban areas is said to be openly unemployed
- situation where in a large section of the labour force does not get a job that may yield them regular income

Structural Unemployment

- occurs due to **structural changes** such as chasnge in technology, changes in demand pattern
- arising from the mismatch between the jobs available in the market and the skills of the available workers in the market
- **For example,** if a particular job which is currently being done by a number of workers is replaced by automation, then these workers would be rendered unemployed due to the automation process

Chronic Unemployment

- When unemployment tends to be a long-term feature of a country
- **Lack of developed resources** and their under utilization, high population growth, backward, even primitive state of technology, low capital formation, etc. are the major causes



Frictional Unemployment

- occurs when a worker is **shifting from one job to the other**
- **time period** between jobs when a worker is searching for, or transitioning from one job to another.

Casual Unemployment

- occurring due to short-term contracts, which are terminable any time where workers are employed on a day- to-day basis

Seasonal Unemployment

- Employees who work exclusively in seasonal occupations may experience unemployment after a season ends - common in agriculture sector

Disguised Unemployment

- When more people are engaged in a job than actually required, marginal product is nearly 0 - common in agriculture sector

SEASONAL UNEMPLOYMENT

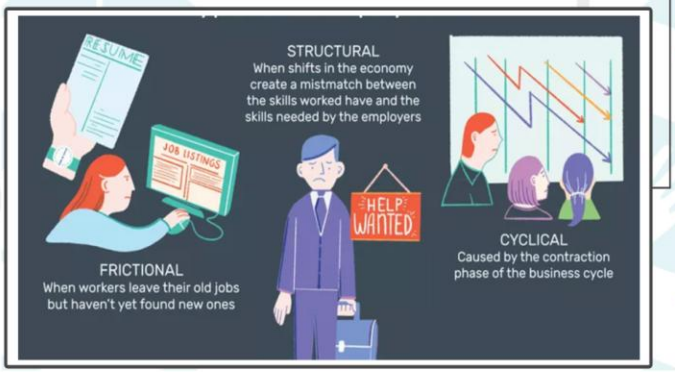
DISGUISED UNEMPLOYMENT

Under-Unemployment

- situation under which employed people are contributing to production less than they are capable of.
- Part-time workers come under this category

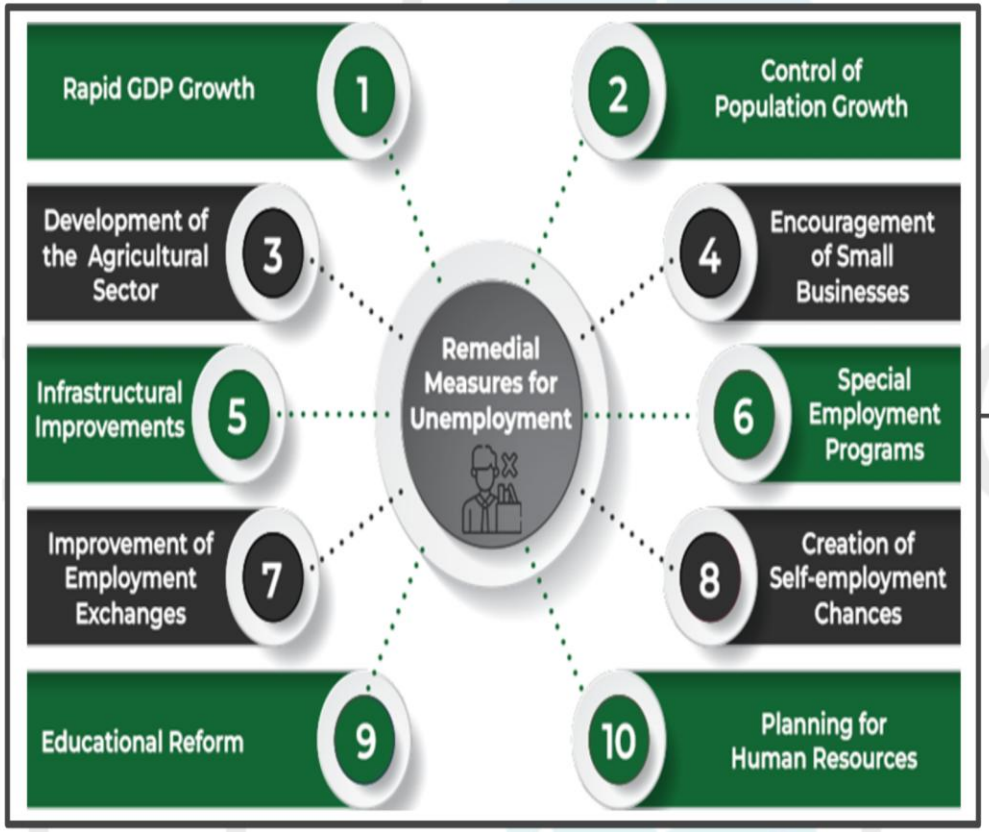
Cyclical Unemployment

- occurs because of **cyclical fluctuations** in the economy.
- **Phases** of boom, recession, depression and recovery are typical characteristics of a capitalist economy



Measurement of Unemployment

Measures to reduce unemployment



National Statistical Office

Usual Status Unemployment

- Also known as open unemployment or **chronic unemployment**
- Includes people who had no gainful work for a major time during the 365 days preceding the date of survey.

Weekly Status Unemployment

- records only those persons as unemployed who did not have gainful work even for an **hour on any day of the week preceding the date of survey.**

Current Daily Status Unemployment

- A person having no gainful work even **for 1 hour in a day** is described as unemployed for that day.

Jobless Growth and its reasons

Where the economy of a country grows but its unemployment rate remains stubbornly high.

Reasons

- Lack of investment in physical infrastructure like roads, highways, railways etc. which contribute to growth of manufacturing.
- Lack of industry specific government policies. In India, we have an Umbrella Industrial Policy but we lack industry specific policies for promotion of individual industry.
- Over valued Exchange rate discouraging exports.
- Low investment in Research, Development and Innovation.
- Weak Export sector and export oriented industries.

Reasons

- Services led Growth whose share of employment is very low.
- Weak Manufacturing Sector which is unable to provide jobs to majority of Labour Force.
- The transition from Agriculture to Manufacturing to services has not happened in India. India moved directly from Agriculture to Services.

Reasons

- Informalisation of the economy due to rigid laws.
- The obsession with Capital Intensive techniques of production has resulted in labour displacement.
- Rigid and Complicated Labour laws which have discouraged the growth of factories.
- Rigid and Complicated Labour laws which have discouraged the growth of factories.